Florida Financial Questions & Answers

Q1: Does Florida have an individual income tax?

A: No, Florida's state constitution strictly prohibits the implementation of a personal state individual income tax, meaning residents face a 0% state income tax on all wages, capital gains, and pensions.

Q2: How does Florida generate tax revenue without an income tax?

A: Florida relies heavily on its general sales tax, which has a baseline rate of 6.0% plus optional local county discretionary surtaxes, alongside corporate income taxes and robust tourism-driven hospitality taxes.

Q3: What is the Florida Homestead Exemption and how does it affect property taxes?

A: Permanent residents can claim a homestead exemption of up to $50,000 off their primary residence's assessed value. Crucially, the 'Save Our Homes' cap limits annual property assessment increases on primary residences to the lesser of 3% or the CPI change.

Q4: What is the corporate income tax rate in Florida?

A: Corporations conducting business in Florida are subject to a flat corporate income tax rate of 5.5% on net income apportioned to the state, with an initial standard exemption amount applied.

Q5: Does Florida impose an estate tax or inheritance tax?

A: No, Florida does not levy a state-level inheritance or estate tax. Constitutional provisions block wealth transfer taxation at the state level.

Local Cost of Living (COL) Comparison Index

This comparative framework provides an institutional baseline indexing living costs relative to the national average (set at 100.0).

State Jurisdiction	Composite COL Index	Housing Cost Metric	State Income Tax Burden
Colorado	105.5	118.2	4.40% Flat Rate

State Jurisdiction	Composite COL Index	Housing Cost Metric	State Income Tax Burden
Connecticut	114.8	124.6	3.00% – 6.99% Progressive
Delaware	100.8	101.4	2.20% – 6.60% Progressive
Florida	102.1	108.5	0.00% (None)
Georgia	94.2	86.7	5.39% Flat Rate

Source: Aggregated regional financial metrics adjusted for the 2026 fiscal period.

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